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JUST AROUND FOUR years ago, the term quick commerce was unheard of, and consumers were content with their local *kirana* stores or the scheduled grocery delivery services provided by e-commerce giants and then-grocery players like Grofers (now Blinkit) and bigbasket.

However, driven by the Covid-19 pandemic-induced lockdowns and a shift towards instant gratification, quick commerce with its promise of 10-minute deliveries has seen rapid growth. It has skyrocketed from a gross merchandise value (GMV) of a mere \$0.10 billion in FY20 to an impressive \$3.3 billion in FY24, per advisory firm Redseer. And that's just the start. The total addressable market for quick commerce is \$45 billion, according to investment banking firm JM Financial.

That potential hasn't gone unnoticed. Investors are flocking to this space, pouring in big money. Zepto raised \$665 million in one of the largest rounds this year; Zomato pumped ₹300 crore into Blinkit; and Swiggy, which has a quick commerce service called Instamart, is readying for an initial public offering (IPO). These companies are not only eyeing big money but are also in close competition in the 10-minute delivery race. In fact, firms such as Reliance Retail's JioMart and Walmart-owned Flipkart also have their sights set on the space. There's also bigbasket's bb now, which was a late entrant to quick commerce de-

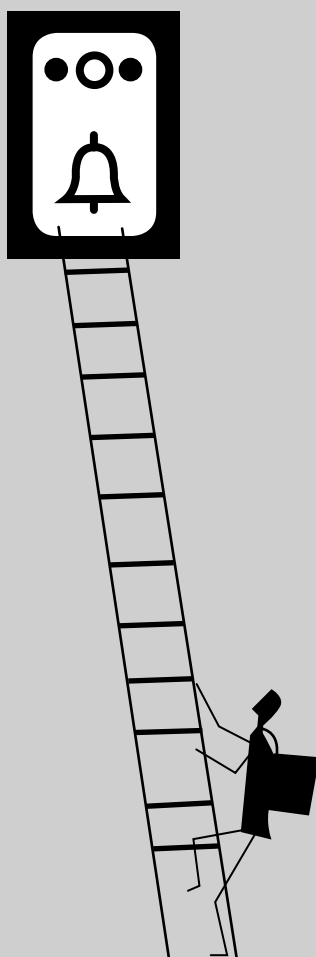
SPEED RACE

● **THE QUICK COMMERCE MARKET IN INDIA TOUCHED A GMV OF ABOUT \$3 BILLION IN FY24, PER ESTIMATES**

● **ITS USER BASE IS RISING WITH AVERAGE MONTHLY TRANSACTING USERS GROWING MORE THAN 40% IN FY24**

● **PLATFORMS ARE NOW ENTICING CUSTOMERS WITH BROADER CATEGORIES LIKE ELECTRONICS, HOME DÉCOR, AND TOYS**

SOURCE REDSEER, JM FINANCIAL



spite being a pioneer in the slotted same-day grocery delivery service.

Keshav Reddy, Founder of Equal, which helps Indians share identity documents with businesses to avail of services, says quick commerce is the big winner this year. "There are three big players, raising significant amounts of capital and all of them are doing really well," says Reddy, whose family is the promoter of the GVK conglomerate.

Armed with funds and buoyed by customer enthusiasm, these firms are expanding the scope of quick commerce, moving beyond groceries and essentials to consumer durables, gadgets and a whole lot more.

THE RISE AND RISE

How did this segment gain such momentum? The Indian quick commerce landscape contrasts sharply with the situation in the US, where companies like DoorDash and Instacart have struggled with quick delivery, says Rahul Taneja, Partner at Lightspeed India, the Indian arm of global venture capital firm Lightspeed Venture Partners. Taneja focusses on seed stage-, early stage-, and growth stage investments. Closer to home, similar ventures like Indonesia's Dropezy and Bananas either shut shop or shifted to other models.

Of course, there were bumps along the road in India, too. Questions were raised about whether it could be economically viable in the long run or if it was just the early adoption of a new proposition with no lasting impact on consumer habits. "Over time, however, each player has cultivated a sizeable and loyal audience, [which is] consistently rewarding these platforms with frequent purchases," says Taneja.

When Grofers, an on-demand grocery delivery service, began operations in 2013, experts speculated